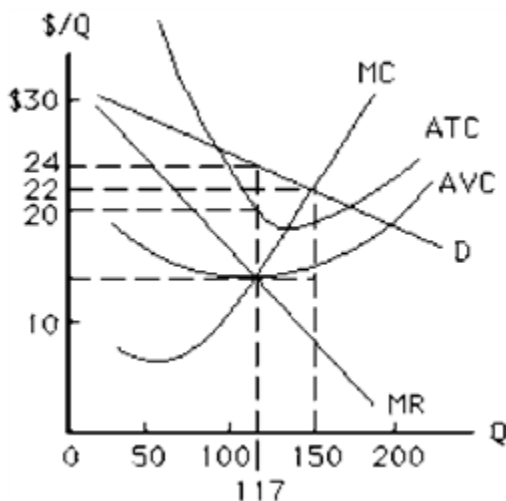


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Indicate the answer choice that best completes the statement or answers the question.

1. If demand is inelastic, an increase in the price of a good will cause total expenditures on the good to
 - a. fall.
 - b. remain constant since the decrease in quantity sold is exactly offset by the price increase.
 - c. rise.
 - d. rise if it is a normal good and fall if it is an inferior good.

Figure 11-18

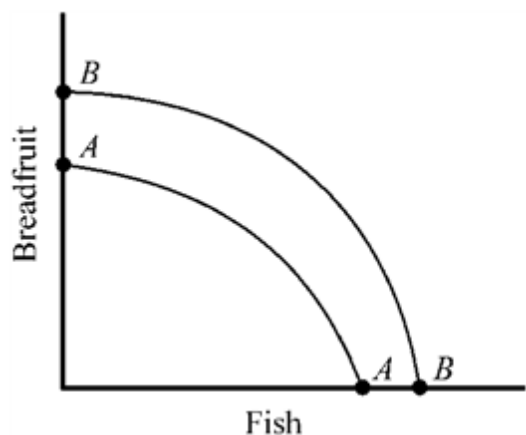


2. The profit-maximizing output and price for the firm in Figure 11-18, which charges the same price to all customers, are
 - a. 117 and \$14
 - b. 150 and \$22
 - c. 150 and \$14
 - d. 117 and \$22
 - e. 117 and \$24
3. How would a decrease in the cost of production affect the market for video games?
 - a. Supply would decrease, leading to an increase in price and a reduction in quantity sold.
 - b. Supply would decrease, leading to a reduction in price and a reduction in quantity sold.
 - c. Supply would increase, leading to an increase in price and an increase in quantity sold.
 - d. Supply would increase, leading to a reduction in price and an increase in quantity sold.
4. Which of the following is a source of information that helps consumers acquire information about the quality of a good or service?
 - a. brand names
 - b. franchising
 - c. consumer ratings magazines
 - d. all of the above
5. "The standard of living is too low for many individuals in the United States. The government should implement policies designed to achieve a more equal distribution of income." The preceding statements are

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- a. positive economic statements based on cause and effect.
- b. normative economic statements based on value judgments.
- c. based on the fallacy of composition argument.
- d. an empirically validated economic principle.

Figure 2-2



6. Which of the following would most likely cause the production possibilities curve for breadfruit and fish to shift outward from *AA* to *BB* in Figure 2-2?
- a. a decrease in the labor force of the country
 - b. a sudden change in consumer preferences for more fish and less breadfruit
 - c. a major technological advance
 - d. a decrease in the capital stock
7. The implicit rate of return that must be paid to induce investors to continue to supply the funds necessary to maintain a firm's capital assets is called
- a. the investors' rate of return.
 - b. the opportunity cost of labor.
 - c. the opportunity cost of capital.
 - d. equity capital.
8. A recent study on enrollment at a liberal arts college concluded that demand elasticity is 0.65. The administration is considering a tuition increase to help balance the budget. The revenue-maximizing decision is to
- a. decrease tuition, which should boost enrollment enough to balance the budget.
 - b. decrease tuition, which would bring in more revenue.
 - c. leave tuition as is—an increase would not help balance the budget.
 - d. increase tuition, which would generate more revenue.
9. Graphically, the area that represents the difference between the market price and the minimum price required to induce suppliers to produce a good is called
- a. consumer surplus.
 - b. producer surplus.
 - c. marginal cost.
 - d. triangular arbitrage.

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10. A monopolist will maximize profits by
 - a. setting the price at the level that will maximize per-unit profit.
 - b. producing the output where marginal revenue equals total cost and charging a price along the demand curve.
 - c. selling at the price on the demand curve at the output rate where marginal revenue equals marginal cost.
 - d. producing at the output rate where price equals marginal cost.
11. Which of the following events would increase producer surplus?
 - a. Sellers' costs stay the same and the price of the good increases.
 - b. Sellers' costs increase and the price of the good stays the same.
 - c. Sellers' costs increase and the price of the good decreases.
 - d. All of the above are correct.
12. The supply of both physical and human resources in the long run is determined primarily by
 - a. the presence or absence of economies of scale.
 - b. investment choices and resource depreciation.
 - c. sunk costs; what happens in the present cannot change the future.
 - d. the law of diminishing marginal returns.
13. Which of the following is a distinguishing characteristic of a user charge?
 - a. Persons pay roughly in proportion to the extent that they use the good or service.
 - b. Persons with high incomes pay a larger amount than persons with lower incomes for the same good or service.
 - c. Persons with high incomes pay a larger percentage of their income than persons with lower incomes for the same good or service.
 - d. Persons with high incomes pay a smaller percentage of their income than persons with lower incomes for the same good or service.
14. Which of the following is a difference between corporations and partnerships?
 - a. Partnerships are subject to double taxation; corporations are not.
 - b. With partnerships, ownership rights are divisible and easily transferable; this is not true for corporations.
 - c. Corporate owners face limited liability; owners of partnerships do not.
 - d. Corporations always have more owners than partnerships.
15. Which of the following is the clearest evidence of employment discrimination against minority employees?
 - a. the average wage of minority workers is lower than the average wage of whites.
 - b. the average hours worked by minority employees exceeds the hours worked by whites.
 - c. the mean number of years of schooling of minority workers is lower than that of whites.
 - d. the average wages of minority employees are lower than the average wages of whites with similar productivity characteristics.
16. An increase in supply will cause
 - a. an increase in demand.
 - b. a decrease in demand.
 - c. an increase in quantity demanded.
 - d. a decrease in quantity demanded.

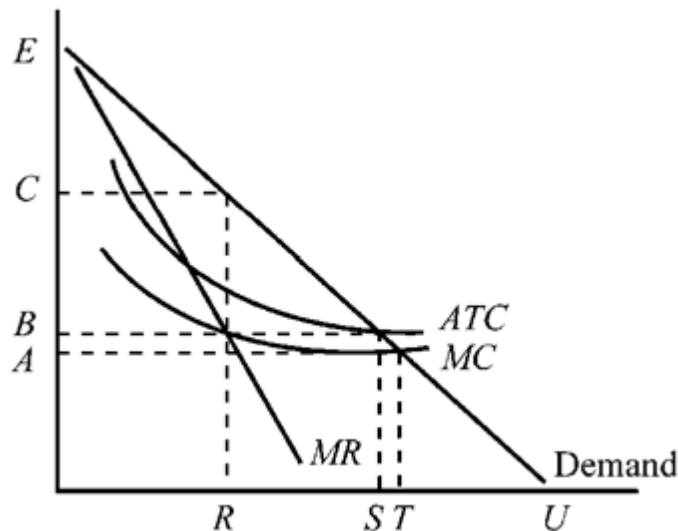
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e. an increase in equilibrium price.

17. Assuming that firms maximize profits, how will the price and output policy of an unregulated monopolist compare with ideal market efficiency?
- The output of the monopolist will be too large and the price too high.
 - The output of the monopolist will be too small and the price too low.
 - The output of the monopolist will be too small and the price too high.
 - The price will be too high, but the impact of monopoly on the output is indeterminate.
18. Which of the following increases the likelihood that a group of sellers can increase profits as the result of collusion?
- the presence of a large number of firms in the industry
 - intense quality competition among firms
 - low barriers to entry into the industry
 - a stable demand for the product

Use the figure to answer the following question(s).

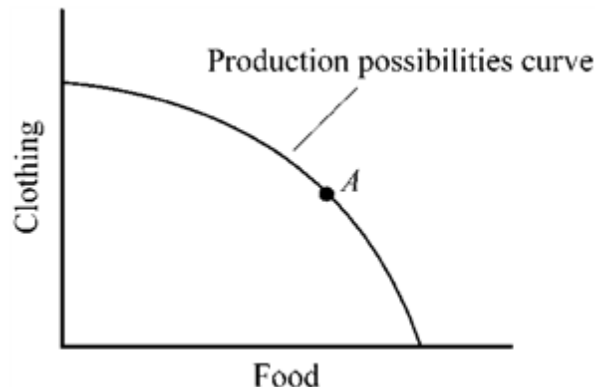
Figure 11-1



19. What price and output in Figure 11-1 would an unregulated profit-maximizing monopolist choose?
- price A and output T
 - price B and output S
 - price B and output R
 - price C and output R
20. If steel workers obtain a substantial wage increase, employment in the steel industry will be most likely to fall if
- the demand curve for steel is highly inelastic.
 - the demand curve for steel is highly elastic.
 - the demand curve for steel workers is highly inelastic.
 - there are no good substitutes for steel.

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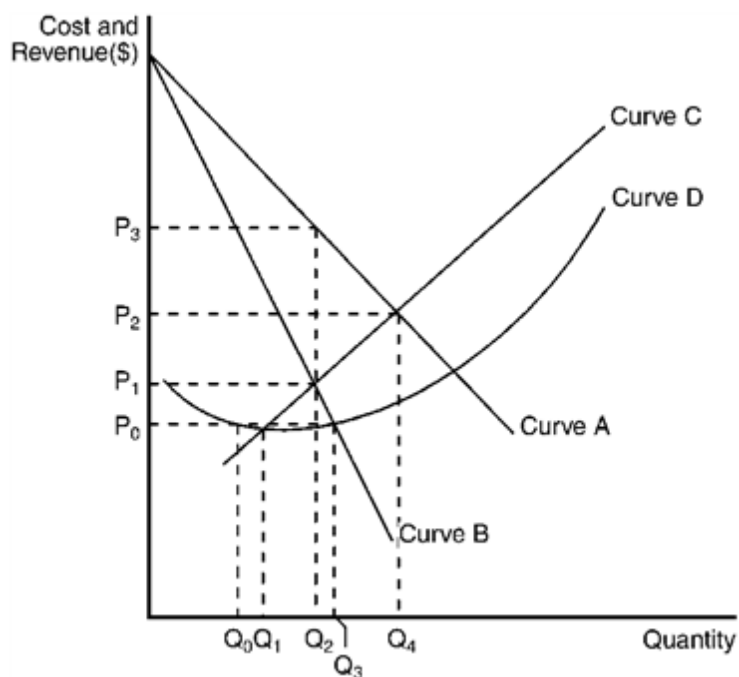
Figure 2-7



21. If an economy operates at point *A* on the production possibilities curve shown in Figure 2-7,
- to produce more food, it would have to reduce its production of clothing.
 - to produce more clothing, it would have to reduce the production of food.
 - it is operating efficiently.
 - all of the above would be correct.
22. Consumers buy less of a good as its price increases because
- production costs have risen.
 - substitute goods are now relatively cheaper.
 - the income of consumers has effectively risen.
 - the higher price will make the good more valuable to each consumer.

The figure below illustrates the cost and revenue structure for a monopoly firm.

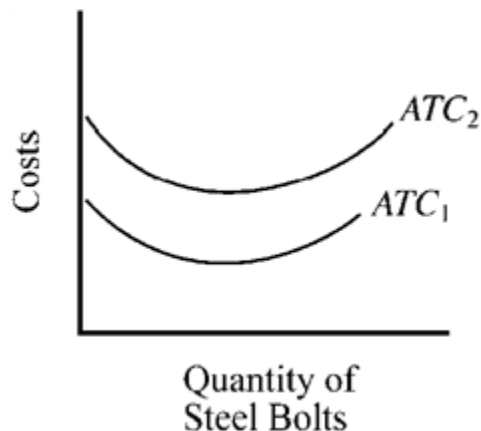
Figure 11-17



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23. Refer to Figure 11-17. If the monopoly firm wants to maximize its profit, it should operate at a level of output equal to
- Q_1 .
 - Q_2 .
 - Q_3 .
 - Q_4 .

Figure 8-5



24. Refer to Figure 8-5. Which of the following would most likely cause the average total cost curve of a firm producing steel bolts to shift from ATC_1 to ATC_2 ?
- an increase in demand for steel bolts
 - an increase in the market price of steel bolts
 - diminishing returns for the variable factors used to produce steel bolts
 - an increase in the price of steel
25. Compared to the profit-maximizing outcome, average cost pricing in natural monopoly leads to
- a higher price.
 - decreased consumer surplus.
 - the elimination of economic profit.
 - less output.

Table 12-5

Number of Workers	Output
0	0
1	50
2	110
3	180
4	260
5	330

26. Refer to Table 12-5. At which number of workers does diminishing marginal product begin?
- 2
 - 3

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- c. 4
- d. 5

27. Which of the following is *not* an advantage of the corporate structure over proprietorship and partnership forms of business organization?

- a. Stockholders in the corporation have limited liability, whereas proprietors or partners have unlimited liability.
- b. Ownership rights of a corporation may be transferred more easily.
- c. Large investment funds are more easily attracted by the corporation.
- d. Corporations are less likely to suffer from the principal-agent problem.

28. When the marginal cost of a price-taker firm is more than the market price of its product, the firm should

- a. expand output.
- b. reduce output.
- c. maintain output.
- d. charge more than the market price.

29. Which of the following about trade is true?

- a. Trade does not produce anything new; therefore, it cannot create value.
- b. The value of a good is determined by the cost of the material resources required for its production.
- c. The value of a good generally depends on who uses it and circumstances such as when and where it is used.
- d. All of the above are true.

Use the figure below to answer the following question(s).

Figure 6-2

		Good is Paid For By:	
		Consumer-Purchaser	Taxpayer or Other Third Party
Good is Produced By:	Private Enterprise	A	B
	Government Enterprises or Contracting	C	D

30. Figure 6-2 illustrates the four possibilities of the structure of production and consumption for a good or service. In which case is the incentive of producers to be efficient and the incentive for consumers to economize the weakest?

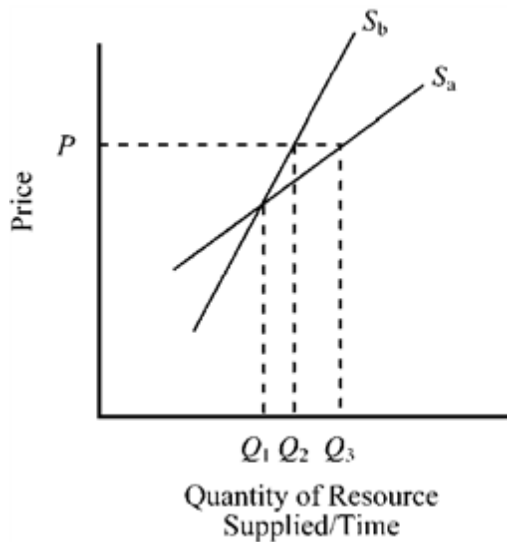
- a. A
- b. B
- c. C

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d. D

Use the figure to answer the following question(s).

Figure 12-1



31. If Figure 12-1 indicated the short-run and long-run supply curves for a resource, which of the following would probably be the long-run supply curve of the resource?

- a. Q_2
- b. Q_3
- c. S_b
- d. S_a

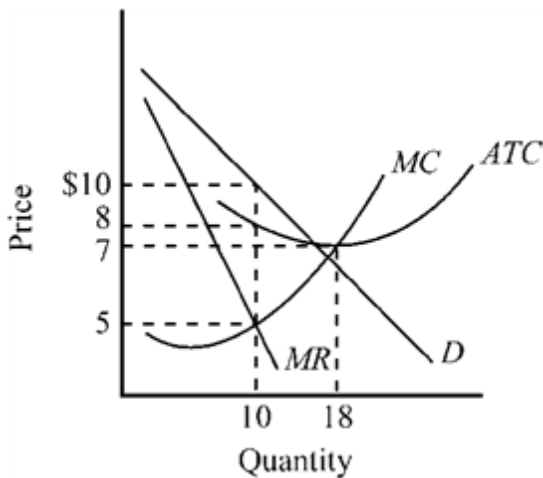
32. From the standpoint of economic efficiency, markets tend to provide

- a. less of a public good than would be efficient.
- b. more of a public good than would be efficient.
- c. exactly the amount of a public good that is efficient.
- d. none of the above.

Use the figure to answer the following question(s).

Figure 10-2

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33. What is the maximum economic profit this firm depicted in Figure 10-2 will be able to earn?
- zero
 - \$20
 - \$30
 - \$100
34. A profit-maximizing monopolist that produces in the short run will
- produce the level of output where marginal revenue exceeds marginal cost by the largest amount.
 - increase output as long as the marginal revenue exceeds the marginal cost of producing that unit.
 - produce the level of output where average total cost is at a minimum.
 - increase price as long as the average revenue exceeds the average total cost.
 - produce the level of output where average revenue exceeds average total cost by the largest amount.
35. Air travel from New York to Miami costs \$300 and takes 6 hours. A bus ticket between the cities costs \$150 and takes 56 hours. Other things constant, the minimum value of one's time that would induce a rational individual to fly rather than drive would be
- \$1 per hour.
 - \$3 per hour.
 - \$5 per hour.
 - \$50 per hour.
36. "Market power" is an expression used to indicate that a firm has
- the power to sell a given output at whatever price it chooses.
 - no freedom from the rigors of intense competition.
 - a monopoly over the product it produces.
 - enough market share to be somewhat insulated from competition.
37. If a 10 percent rise in airfares leads to a 5 percent increase in total expenditures on air travel, the price elasticity of demand for air travel in this range must be
- 2.
 - elastic.

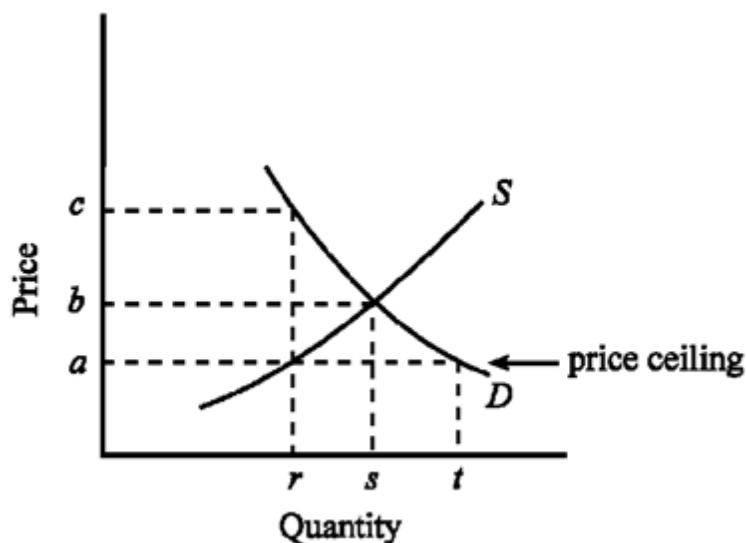
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- c. 0.5.
- d. inelastic.

38. Which of the following describes a situation in which demand must be inelastic?
- a. The price of vitamins rises by 10 cents, and quantity of vitamins demanded falls by 50.
 - b. The price of vitamins rises by 10 cents, and total revenue rises.
 - c. A 20 percent increase in the price of vitamins leads to a 20 percent decrease in the quantity of vitamins demanded.
 - d. Total revenue does not change when the price of vitamins rises.
 - e. Total revenue decreases when the price of vitamins rises.

Use the figure below to answer the following question(s).

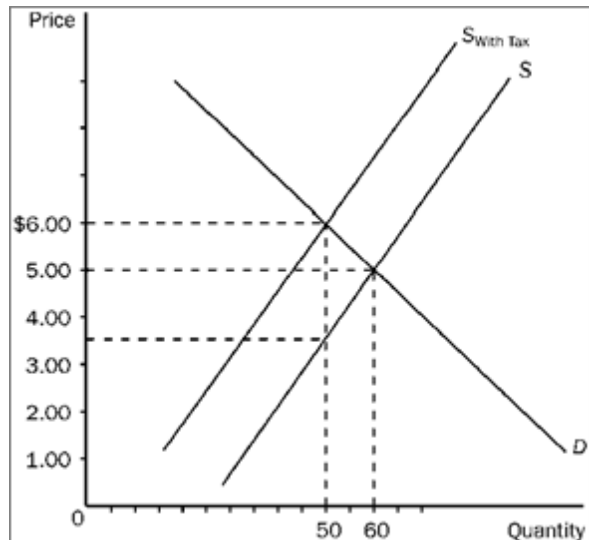
Figure 4-4



39. Given the demand and supply conditions shown in Figure 4-4, if the government imposes a price ceiling of a , which of the following would be true?
- a. Consumers would want to buy r units.
 - b. Consumers would want to buy s units.
 - c. Producers would wish to sell s units.
 - d. Producers would wish to sell r units.

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Figure 4-22



40. Refer to Figure 4-22. Suppose the same S and D curves apply, and a tax of the same amount per unit as shown here is imposed. Now, however, the buyers of the good, rather than the sellers, are required to pay the tax to the government.

Now,

- the burden on buyers will be larger than in the case illustrated in Figure 4-22.
- the burden on sellers will be smaller than in the case illustrated in Figure 4-22.
- a downward shift of the demand curve replaces the upward shift of the supply curve.
- All of the above are correct.

41. The following figure indicates the reductions in total losses due to theft if a jewelry store hires additional security guards.

Number of Guards	Dollar Value of Thefts Prevented
1	150
2	240
3	310
4	360
5	400
6	430

If the security guards can be hired for \$45 per day, how many guards should the shop hire?

- 2
- 3
- 4
- 5
- 6

42. A deadweight loss results from the imposition of a tax on a good because the tax

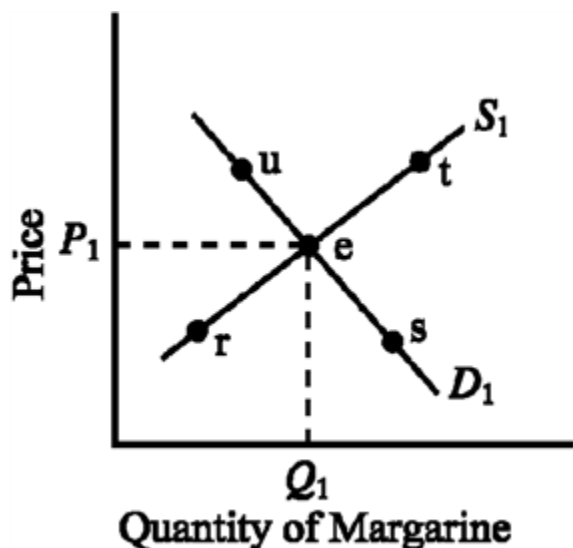
- induces the government to increase its expenditures.
- reduces the quantity of exchanges between buyers and sellers.
- causes a disequilibrium in the market.

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d. imposes a loss on buyers that is greater than the loss to sellers.

Use the figure below to answer the following question(s).

Figure 3-13



43. Refer to Figure 3-13. The market for margarine was initially in equilibrium at point e. Other things constant, a decrease in the price of butter, a close substitute for margarine, would likely move the equilibrium in this market toward point

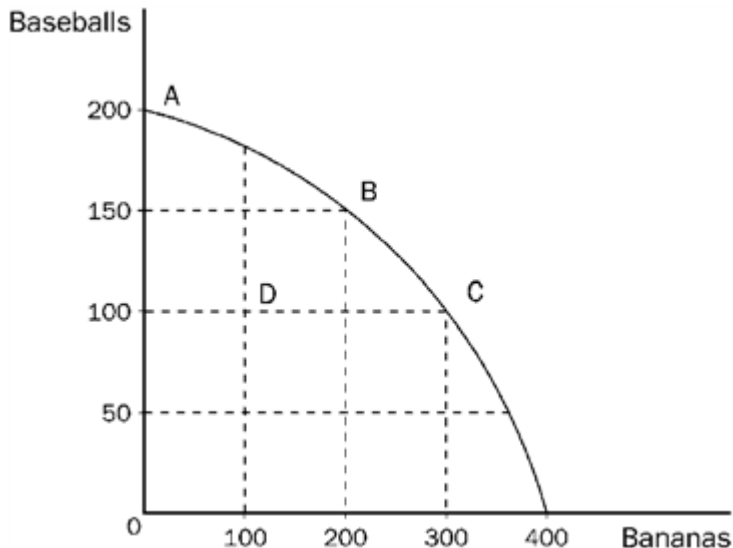
- a. r.
- b. s.
- c. t.
- d. u.

44. A college has found that during every home football game, a group of students sits on a hillside next to the stadium and watches the game without purchasing tickets. In economics, the problem that this college is facing is referred to as a

- a. common good problem.
- b. free rider problem.
- c. onlooker problem.
- d. deadweight loss problem.

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Figure 2-10



45. Refer to Figure 2-10. If this economy put all available resources into the production of bananas, it could produce
- 200 bananas and also 150 baseballs.
 - 300 bananas and also 100 baseballs.
 - 400 bananas and no baseballs.
 - It is impossible to know unless we know the quantity of resources available.
46. Which of the following is true of exchange?
- The value of a good is determined by the cost of the resources required to produce the good.
 - Exchange makes it possible for trading partners to produce more goods through division of labor and adoption of mass production methods.
 - Nothing new is created by exchange; if one party to an exchange gains, the other must lose an equal amount.
 - Both a and b are true.

Use the production possibilities data below for Honduras and Nicaragua to answer the following question(s).

Table 2-2

	Oranges	Apples
Honduras	0	16
	1	12
	2	8
	3	4
	4	0

	Oranges	Apples
Nicaragua	0	8
	1	6
	2	4
	3	2
	4	0

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47. Refer to Table 2-2. According to the law of comparative advantage, both Honduras and Nicaragua could gain if
- Honduras produced all of the apples and oranges and Nicaragua did not produce anything.
 - Honduras specialized in producing apples, Nicaragua specialized in producing oranges, and they traded.
 - Honduras specialized in producing oranges, Nicaragua specialized in producing apples, and they traded.
 - Nicaragua and Honduras were both self-sufficient and did not trade.
48. The economic way of thinking stresses that
- changes in personal costs and benefits generally fail to exert much impact on behavior.
 - incentives matter--individuals respond in predictable ways to changes in personal costs and benefits.
 - if one individual gains from an economic activity, then someone else must lose and in the same proportion.
 - if a good is provided by the government, its production will not consume valuable scarce resources.
49. When a government subsidy is granted to the buyers of a product, sellers can end up capturing some of the benefit because
- the market price of the product will fall in response to the subsidy.
 - the market price of the product will rise in response to the subsidy.
 - the market price of the product will not change in response to the subsidy.
 - buyers will reduce their demand for the product.
50. Graphically, the marginal revenue curve of a monopolist
- will sometimes lie below the demand curve of the monopolist.
 - will always lie below the demand curve of the monopolist.
 - is the same as the demand curve of the monopolist.
 - will equal -1 when the elasticity of demand is unitary.
51. Firms will only adopt more automated methods of production when
- they reduce the need for workers.
 - they lower production costs.
 - they lengthen the production process.
 - other firms in the industry are doing it.
52. In the short run, if average variable costs equal \$45, average total costs equal \$50, and output equals 100, the total fixed costs will equal
- \$5.
 - \$500.
 - \$1,000.
 - \$5,000.
53. When an employer pays the cost of educating a worker, it is likely that the employer
- is demonstrating altruistic motives.
 - is pursuing some objective other than profit-maximization.
 - hopes to recapture its investment in the form of increased labor productivity.
 - receives reimbursement from the government for the cost of the education.
54. In the area of business, rent-seeking often involves

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- a. the use of resources to construct high-priced rental housing.
 - b. the use of resources to secure and maintain a grant of monopoly power from the government.
 - c. an agreement between firms to raise prices and limit entry.
 - d. an agreement between a firm and a customer that makes both parties better off.
55. Direct income transfers account for approximately what percentage of total government spending?
- a. 10 percent
 - b. 30 percent
 - c. 50 percent
 - d. 60 percent
56. Under which one of the following market structures are sellers most likely to consider the reaction of rival sellers when they set the price of their product?
- a. price-taker firms
 - b. pure monopoly
 - c. price searchers with low entry barriers
 - d. oligopoly
57. The statement, "John buys more of good X as his income increases, ceteris paribus," means
- a. John's income is being held constant.
 - b. John's purchases of good X are being held constant.
 - c. John's income and purchases of this good are being held constant.
 - d. John's income is the only influence that is being allowed to change.
 - e. the price of this good is being allowed to change.
58. A firm is currently operating where the MC of the last unit produced is \$84, and the MR of this unit is \$70. What would you advise this firm to do?
- a. Shut down.
 - b. Increase output.
 - c. Stay at its current output.
 - d. Decrease output.
 - e. Decrease price.

Consider the following demand and cost information for a monopoly.

Table 11-1

Quantity	Price	Total Cost
1	\$30	\$3
2	\$25	\$7
3	\$20	\$12
4	\$15	\$18
5	\$10	\$25

59. Refer to Table 11-1. The marginal cost of the fourth unit is
- a. \$6.

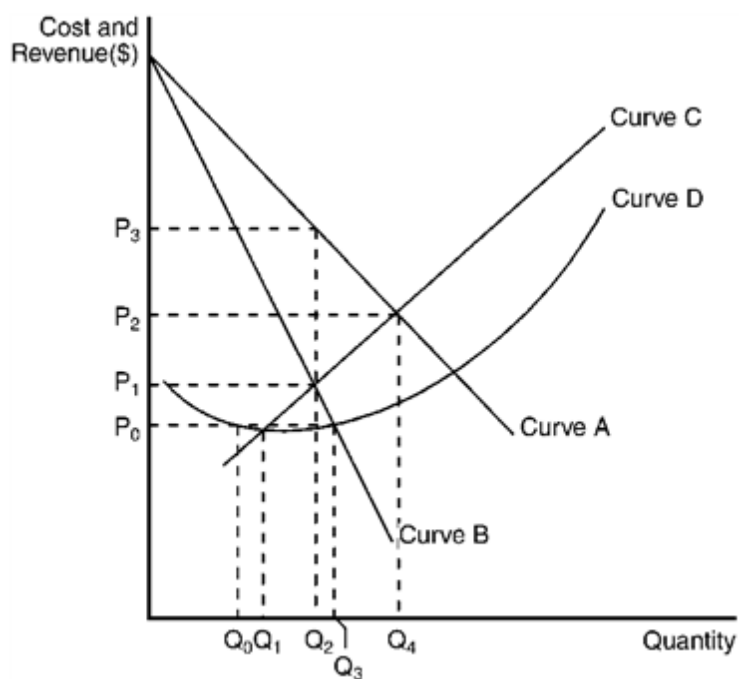
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- b. \$12.
- c. \$25.
- d. \$60.

60. Which of the following best explains why economists are generally critical of unregulated monopolists?
- a. Monopolists do not try to minimize their costs of production.
 - b. Monopolists produce where marginal revenue is greater than marginal costs.
 - c. Monopolists attempt to produce too many products, and as a result, their prices are high, and consumers waste time trying to choose between too many options.
 - d. Monopolists restrict output, and as a result, they fail to produce units that are valued more than the marginal cost of producing them.
61. Which of the following is the most likely outcome of minimum wage laws?
- a. an increase in both the quantity of labor supplied by workers and the quantity of labor demanded by firms
 - b. an increase in the quantity of labor supplied by workers and a decrease in the quantity of labor demanded by firms
 - c. a decrease in the quantity of labor supplied by workers and an increase in the quantity of labor demanded by firms
 - d. a decrease in both the quantity of labor supplied by workers and the quantity of labor demanded by firms

The figure below illustrates the cost and revenue structure for a monopoly firm.

Figure 11-17



62. Refer to Figure 11-17. If the monopoly firm is currently producing Q_3 units of output, then a decrease in output will necessarily cause profit to
- a. remain unchanged.
 - b. decrease.

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- c. increase as long as the new level of output is at least Q_2 .
 - d. increase as long as the new level of output is at least Q_1 .
63. An increase in the number of students attending college would tend to
- a. reduce the demand for college professors.
 - b. decrease the number of college professors employed.
 - c. increase the demand for college professors.
 - d. reduce the wage for college professors.
64. Because the height of the demand curve measures the marginal value of the good to consumers, the fact that a demand curve slopes downward to the right illustrates that
- a. as more of a product is consumed, consumers will value additional units less.
 - b. as more of a product is consumed, consumers will value additional units more.
 - c. the value of additional units of the good is unrelated to the amount consumed.
 - d. the cost of production for a good generally rises as more of it is produced.
65. The size of a country's "economic pie" is thought of as the total dollar value of all goods and services produced during some period of time. The economic pie
- a. is a fixed total waiting to be divided up among people.
 - b. determines how much wealth an individual can obtain.
 - c. is variable, not fixed, across time periods.
 - d. depends solely upon the natural resources of a country.